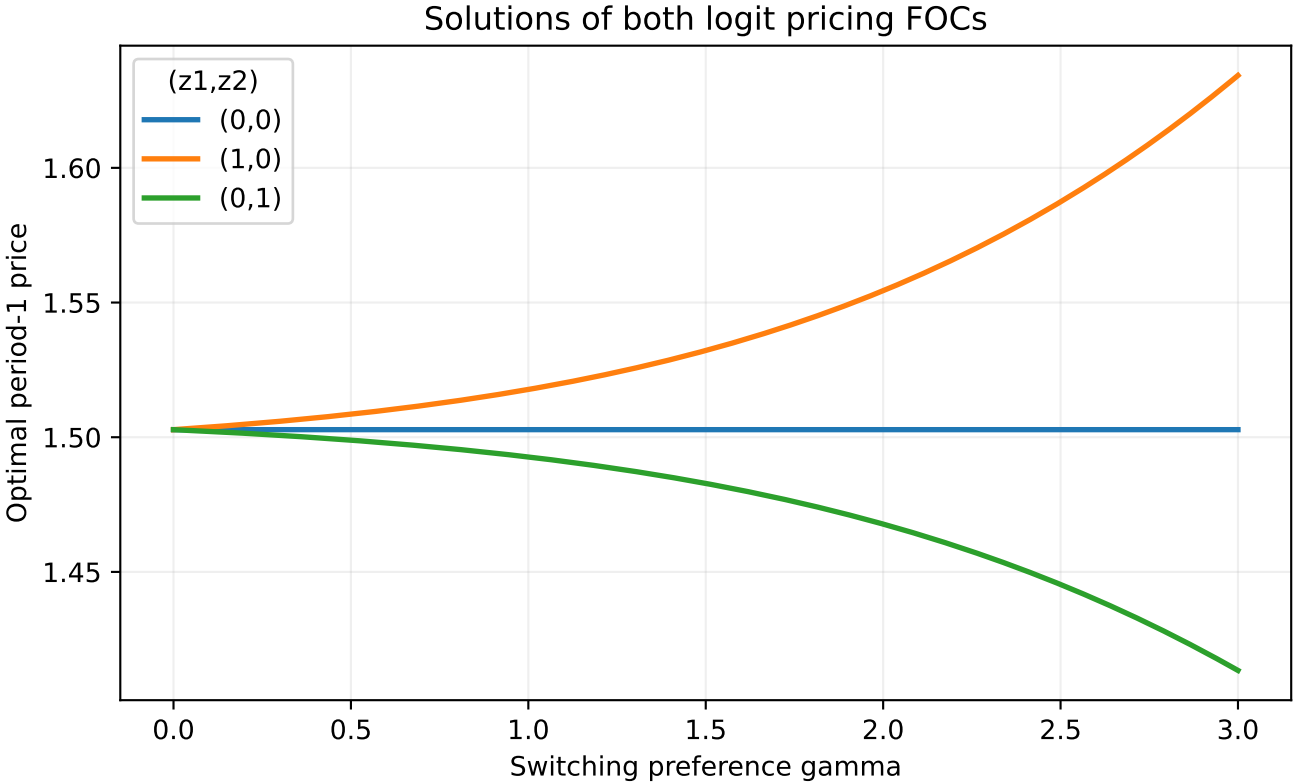
Solutions of both logit pricing FOCs
(z1,z2)
(0,0)
(1,0)
(0,1)
Optimal period-1 price
1.60
1.55
1.50
1.45
0.0
0.5
1.0
1.5
2.0
2.5
3.0
Switching preference gamma
alpha=-2, beta=-1, delta=0.7, c=1; shares adjust with prices